

Meta Ads Playbook

A practical knowledge base for fashion brands: metrics, diagnosis, strategy, and decision rules.

How to use this (AI Mentor mode)

- Ask for the numbers first: spend, revenue, gross margin %, AOV, CPM, CTR, CPC, CVR, CPA, ROAS, MER, frequency.
- Diagnose in this order: Offer → Creative → Store → Targeting → Measurement.
- Give one clear next move per bottleneck (not 10 random tips).
- If a user can't provide numbers, treat everything as hypotheses and run small tests.

1. What Meta Ads are good for (and what they are not)

Meta ads are a distribution amplifier. They do not create demand out of nothing. If the offer is unclear or the product page is weak, paid traffic will just help you fail faster.

- Good for: scaling a proven offer, reaching new people, controlled testing of creative angles, and retargeting warm intent.
- Bad for: “fixing” a weak product, compensating for poor pricing/quality, or replacing consistent organic content.

Ruthless rule

- If your offer and product page are weak, you don't need ads. You need clarity and trust.
- If your margin is thin, stop chasing ROAS screenshots and compute break-even CPA.

2. Minimum tracking setup (so your data is not trash)

You can't optimize what you can't measure. Before spending real money, you need acceptable signal quality.

- Pixel + Events: Track ViewContent, AddToCart (ATC), InitiateCheckout (IC), Purchase.
- CAPI (Conversions API): Add server-side tracking to reduce losses from browser blocks.
- UTM: Tag links so you can compare Meta vs other channels in Google Analytics.
- Clean store: fast pages, clear shipping & returns, clear size guide, credible product photos.

If results look inconsistent, suspect measurement first when:

- ROAS swings wildly day-to-day but MER (total revenue ÷ total marketing spend) stays flat.
- Purchase events are missing or duplicated.
- A lot of orders come from WhatsApp/COD and aren't properly attributed.

3. Abbreviations and full names (no more mystery letters)

Every abbreviation used in this playbook is expanded below. If a user sees an abbreviation, the mentor should restate the full name once in the answer.

Abbreviation	Full name	Meaning in practice
CPM	Cost per 1,000 Impressions	Amount you pay to show ads 1,000 times. Use it to judge how expensive the audience/placement is and whether creative is expanding reach.
CPC	Cost per Click (link click)	Amount you pay per link click. Good for diagnosing top-of-funnel efficiency and creative relevance.
CTR	Click-Through Rate (link)	Percent of impressions that become link clicks. Low CTR = weak hook/creative/audience match.
CPA	Cost per Acquisition (Purchase) / Cost per Action	What you pay to get one desired result (usually a purchase). The number founders obsess over — but it only matters relative to margin and AOV.
CVR	Conversion Rate	Percent of sessions that purchase. Low CVR makes ads look “bad” even if CPM/CTR are fine. Fix store before scaling spend.
AOV	Average Order Value	Average revenue per order. Higher AOV allows higher CPA.
ROAS	Return on Ad Spend	Revenue attributed to ads ÷ ad spend. Good directional metric, not truth. Needs context: margin, attribution window, new vs returning.
MER	Marketing Efficiency Ratio	Total revenue ÷ total marketing spend (all channels). This is the CEO metric. If MER is healthy, attribution debates matter less.
CAC	Customer Acquisition Cost	Total acquisition spend ÷ number of new customers. Use with LTV to see if the model works.
LTV	Lifetime Value	Total gross profit you expect from a customer over time. The more repeat you have, the more aggressively you can spend to acquire.

ATC	Add to Cart (event)	Users who add an item to cart. A step in the funnel. If ATC is strong but purchases are weak, checkout/trust/pricing is the issue.
IC	Initiate Checkout (event)	Users who start checkout. If IC is strong but purchases are weak, payment/shipping/returns/friction is the issue.
CAPI	Conversions API	See glossary/metric section for context.
UTM	Urchin Tracking Module (URL tracking parameters)	See glossary/metric section for context.
KPI	Key Performance Indicator	See glossary/metric section for context.
TOF / MOF / BOF	Top / Middle / Bottom of Funnel	See glossary/metric section for context.
ASC	Advantage+ Shopping Campaigns (Meta)	See glossary/metric section for context.
ABO	Ad Set Budget Optimization	See glossary/metric section for context.
CBO	Campaign Budget Optimization	See glossary/metric section for context.

4. Metric definitions and how to read them

Metrics are only useful when you understand what they control. Most founders obsess over CPA and ignore the upstream levers that create it.

Metric	Full name	Definition + why it matters	Formula
CPM	Cost per 1,000 impressions	Amount you pay to show ads 1,000 times. Use it to judge how expensive the audience/placement is and whether creative is expanding reach.	$\text{Spend} \div (\text{Impressions} / 1,000)$
CPC	Cost per click (link click)	Amount you pay per link click. Good for diagnosing top-of-funnel efficiency and creative relevance.	$\text{Spend} \div \text{Link clicks}$
CTR	Click-through rate (link)	Percent of impressions that become link clicks. Low CTR = weak hook/creative/audience match.	$\text{Link clicks} \div \text{Impressions}$
CPCV	Cost per content view	Cost per landing-page view or content view (depending on setup). Useful when you optimize for traffic. Lower is better, but only matters if those views convert.	$\text{Spend} \div \text{Content views}$
ATC	Add to cart (event)	Users who add an item to cart. If CTR is OK but ATC is low, your product page, price, or offer may be weak.	—
IC	Initiate checkout (event)	Users who start checkout. If IC is strong but purchases are weak, payment/shipping/returns/friction is the issue.	—
CPA	Cost per acquisition (purchase) / Cost per action	What you pay to get one desired result (usually a purchase). The number founders obsess over — but it only matters relative to margin and AOV.	$\text{Spend} \div \text{Purchases}$
CVR	Conversion rate	Percent of sessions that purchase. Low CVR makes ads look “bad” even if CPM/CTR are fine. Fix store before scaling spend.	$\text{Purchases} \div \text{Sessions}$
AOV	Average order value	Average revenue per order. Higher AOV allows higher CPA.	$\text{Revenue} \div \text{Orders}$

Metric	Full name	Definition + why it matters	Formula
ROAS	Return on ad spend	Revenue attributed to ads ÷ ad spend. Good directional metric, not truth. Needs context: margin, attribution window, new vs returning.	Attributed revenue ÷ Spend
MER	Marketing efficiency ratio	Total revenue ÷ total marketing spend (all channels). This is the CEO metric. If MER is healthy, attribution debates matter less.	Total revenue ÷ Total marketing spend
CAC	Customer acquisition cost	Total acquisition spend ÷ number of new customers. Use with LTV to see if the model works.	Spend ÷ New customers
LTV	Lifetime value	Total gross profit you expect from a customer over time. The more repeat you have, the more aggressively you can spend to acquire.	—
Frequency	Average times a person saw your ad	High frequency with falling results = creative fatigue or too-small audience. Refresh creative or broaden targeting.	—
Holdout / Incrementality	Lift measurement	How much sales change because of ads (not just attributed). Harder, but closest to truth when scaling.	—

The only 3 questions that matter

- Can we buy attention cheaply enough? (CPM, CTR, CPC)
- Can our store convert that attention? (CVR, ATC → IC → Purchase drop-off)
- Does the math work after costs? (gross margin, break-even CPA, MER)

5. Choosing campaign objectives (and when each one backfires)

The objective tells Meta what “success” looks like. Pick the wrong objective and you train the algorithm to bring you the wrong people.

Objective	Optimizes for	When to use	Pros	Cons
Sales (Conversions)	Optimizes for purchases/events.	Best once pixel has purchases and your offer converts.	Stable CPA, scalable when fundamentals are strong.	Needs clean tracking; can be unstable with low volume.
Traffic	Optimizes for clicks/landing-page views.	Early testing of angles or when sales signal is too low.	Cheap data fast; good for creative/offer testing.	Often attracts low-intent clicks; ROAS may look terrible.
Engagement/Video views	Optimizes for interactions or watch time.	Building warm audiences and proof content.	Builds retargeting pools; good for TOF story content.	Can create vanity metrics; doesn't guarantee buyers.
Catalog / Advantage+ Shopping	Uses product catalog + automation.	E-commerce with multiple SKUs and enough spend.	Can scale with less manual work; strong for broad prospecting.	Weak if product page/creative is weak; can overserve existing buyers.

Decision shortcut

- Sales/Conversions when: product page converts and you can get purchases each week.
- Traffic when: you're still testing angles or you have too little purchase data — but treat it as learning, not profitability.
- Engagement/Video views when: you want cheaper warm audiences and proof content for retargeting.

6. Diagnosis by patterns (what your numbers are actually saying)

Stop guessing. A few metric patterns repeat in almost every fashion brand. Use the table to diagnose before you change anything.

Pattern	Likely meaning	Do this	Avoid this
High CPM + normal CTR + normal CVR	Audience/placement is expensive (competition) or your creative is not broad enough to earn cheap distribution.	Test broader placements, broaden targeting, refresh creative to improve relevance score, avoid tiny audiences. Consider seasonal spikes (launches, holidays).	Don't "fix" by discounting. Don't narrow further. Don't panic if ROAS is still acceptable.
Normal CPM + low CTR	Creative/hook is weak or mismatched to the audience. People scroll past.	New hooks (0-2s), clearer benefit, stronger proof (fit/detail), tighter positioning. Test UGC and product-in-use. Keep targeting stable while you test creatives.	Don't micro-tweak targeting daily. Don't scale spend until CTR improves.
Normal CTR + low CVR (many clicks, few orders)	Store/offer is the bottleneck: pricing, trust, sizing, shipping/returns, page speed, checkout friction.	Fix product page (photos, size guide, delivery/returns), add social proof, simplify checkout, ensure price matches positioning. Run warm retargeting with proof and FAQs.	Don't scale ads. Don't blame CPM. Ads amplify a broken store.
Good ATC/IC but weak purchases	Checkout/payment/shipping shock. Or a trust gap right before purchase.	Show total price early (shipping), offer COD if relevant, clarify returns, add urgency/guarantee, reduce checkout steps, add abandoned checkout retargeting.	Don't keep pushing more traffic. Fix the last mile.

ROAS looks good but MER is bad	Attribution is lying or you're cannibalizing organic/WhatsApp sales. Or spend is too high relative to total revenue.	Track MER weekly, use holdout tests when possible, compare total revenue trends vs spend. Reduce retargeting dependence; improve creative and offer to grow prospecting.	Don't celebrate ROAS alone. Businesses die with 'good ROAS' and no profit.
CPA is okay but profit is low	Your contribution margin is thin (COGS, shipping, returns).	Increase price/AOV (bundles), cut COGS, reduce returns (size/quality), upsell/cross-sell. Compute break-even CPA and enforce it.	Don't run constant discounts. Don't scale a low-margin product.

Common self-sabotage

- Changing targeting daily instead of fixing creative.
- Running heavy discounts to 'improve ROAS' while killing brand and margin.
- Scaling spend before fixing conversion rate (CVR) and returns.

7. A clean Meta Ads system for fashion brands

A simple structure beats a complex one. You want a system you can run weekly without chaos.

Campaign layers (start simple):

- Cold (Prospecting): Broad or light interests. Goal = discovery + proof. Optimize for purchases when possible.
- Warm (Retargeting): IG engagers, site visitors, video viewers. Goal = remove doubt (reviews, sizing, shipping, FAQs).
- Hot (Checkout): Add-to-cart / Initiate-checkout. Goal = close the sale (urgency, guarantee, clear delivery).

Budget rules:

- Spend ~70–85% on cold once your offer works (growth comes from new people).
- Keep retargeting smaller; it's a closer, not a growth engine.
- Scale winners slowly (20–30% budget increases).

When not to run ads

- If you can't answer: gross margin %, AOV, break-even CPA.
- If your product page has weak photos, unclear size guide, or unclear delivery/returns.
- If you have quality problems or high return/exchange rates.

8. Creative testing (the real growth lever)

Targeting is not your strategy. Creative is. Your creative decides what kind of people click, how much it costs, and whether they trust you.

Angles to test (rotate 3-5):

- Fit & detail: fabric, stitching, drape, how it sits on body.
- Identity: who this is for (streetwear, modest, minimal, luxury vibe).
- Problem/solution: 'pants that don't fade', 'hoodie that doesn't pill', 'heat-friendly fabric'.
- Social proof: UGC, reviews, before/after, 'worn by...'
- Offer: bundles, limited drop, free shipping threshold.

Weekly test rule: test 5-10 creatives/week; kill losers fast; keep targeting stable during tests.

If CTR is low, the fix is not a new campaign. The fix is a new hook.

- Rewrite the first 2 seconds.
- Use real humans (UGC) over polished studio shots early.
- Show the product clearly in the first frame.

9. Profit math: break-even CPA, ROAS, and the trap of vanity metrics

ROAS is not profit. You can have a 'good ROAS' and still lose money if margin, shipping, and returns are bad.

Compute break-even CPA:

- Contribution margin per order = price – COGS – packaging – shipping subsidy – payment fees – expected returns/exchanges.
- Break-even CPA = contribution margin per order (if you only consider first purchase).
- If you want profit, target CPA < break-even CPA.

Scenario examples

- High AOV + high margin: you can tolerate higher CPA; focus on scaling cold acquisition.
- Low margin basics: you must win on COGS and repeat purchase; don't depend on ads alone.
- High returns category: fix sizing/expectation first or ads will magnify returns losses.

10. Glossary (definitions for everything)

Use this glossary whenever a user asks ‘what does that mean?’ or when you want the mentor to be precise and consistent.

Term	Definition
Attribution window	The time period Meta uses to credit a purchase to an ad interaction (e.g., 7-day click, 1-day view). Short windows undercount; long windows over-credit.
Audience fatigue	When the same people see the same creatives too many times and performance drops (often shows up as rising frequency + falling CTR/CVR).
Break-even CPA	The maximum CPA you can pay while not losing money on the first purchase (based on contribution margin).
Broad targeting	Minimal interest targeting; you rely on the algorithm + creative to find buyers. Works best with strong creative and enough conversion volume.
CAPI	Server-side event tracking that improves signal quality when browser tracking is blocked.
Creative angle	The core message of an ad: pain, desire, identity, proof, offer, or story. You test angles more than you test “designs.”
Creative fatigue	Performance decay because the creative is over-served. Fix with new hooks, formats, and offers—not tiny edits.
Event (Pixel)	A tracked action (ViewContent, AddToCart, InitiateCheckout, Purchase). These events train the algorithm.
Incrementality	How many extra sales happened because ads ran, compared to if you didn’t run them.
Landing page view	A higher-quality click metric that confirms the page actually loaded (filters accidental/low-intent clicks).
Learning phase	Meta’s exploration period when delivery is unstable. It needs enough conversions per week to exit learning.
Offer	The full deal: product + price + bonus/bundle + urgency + guarantee + shipping/returns clarity.
Pixel	Meta’s browser tracking script used to record events and optimize delivery.
Prospecting	Reaching new people (cold). Usually TOF; goal is discovery and proof.
Retargeting	Reaching people who already engaged (warm/hot). Goal is remove doubt and close.

UGC	User-generated content: real people wearing/using the product. Often the highest-trust creative.
Whitelist / Spark	Running ads through a creator’s handle for higher trust (Meta calls it Partnership Ads).